

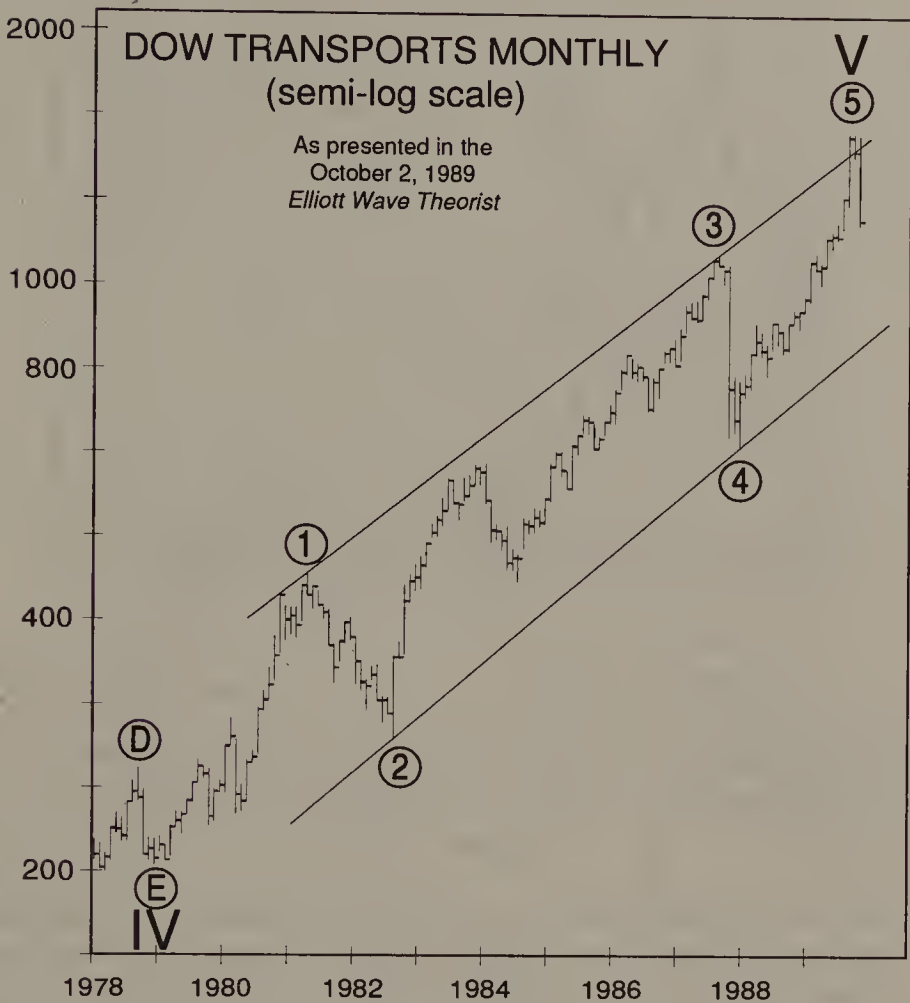


Figure 6-2

midst of a market panic, *The Elliott Wave Theorist* caught the low of wave (A) (labeling it wave ①), with these observations (see Figure 6-3):

The Dow Jones Transportation Average appears to be days away from completing a five wave decline from the August-September high. Note that there is a contracting triangle in the fourth wave position, alternating with the expanded flat correction for wave 2. This count creates a symmetry in the wave structure in that waves 5 and 1 are (to date) approximately equal in length, waves 2 and 4 are equal in height and wave 5 has so far fallen the width of the triangle, all according to typical wave guidelines. A substantial rally is due to begin soon, ideally after a slight new